

THE FLIGHT LEADERS



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tre) are key financial metrics used to evaluate an airline's operational efficiency and profitability.

IndiGo's massive market share translates directly into pricing power, and Air India cannot match that without sacrificing the premium positioning, which is essential to its full-service strategy.

IndiGo's Q4FY25 financial performance—₹22,152 crore revenue from operations (24% Y-o-Y growth) and ₹3,068 crore net profit (62% Y-o-Y growth), the highest-ever in its lifetime—clearly shows the kind of profitability that is available to market leaders. Air India's loss-making trajectory, despite improved operational metrics, indicates that it has a long way to go before it can compete effectively with a profitable incumbent, while simultaneously investing in transformation.

Insiders believe Wilson is confident the airline can achieve profitability through premium positioning and network advantage, but that would mean competing against IndiGo's ability to com-

bine low costs with operational excellence.

A senior pilot with a domestic airline says Air India should allow Air India Express, its low-cost entity, to compete directly with IndiGo. "It is hard for a full-service carrier to compete with a low-cost airline. Hence, AI Express should be utilised on more routes in the domestic market, which will free up Air India to consolidate its position on international routes," he adds.

PLAYING TO STRENGTH

Air India, with its vast experience in international flying and an order book of 400 aircraft, has an advantage that other airlines in South Asia lack. For instance, flying

multiple times a week to London—a route IndiGo cannot yet match—allows Air India to consolidate where it is already strong. However, IndiGo's expansion into international markets and its business-class offerings directly challenge Air India's strategic differentiation, potentially limiting the premium pricing power essential to its financial recovery.

While IndiGo's impact and influence on the industry are overwhelming, Air India has enough firepower to focus on delivering better customer service, reliability, and one-time performance. "They are doing everything possible to demonstrate this. One can expect AI to become a world-class airline to be stronger than ever before," Kaul says.

WILSON'S TARGET OF 400 AIRCRAFT BY 2027 AND 30% DOMESTIC MARKET SHARE REPRESENTS AMBITIOUS GOALS